



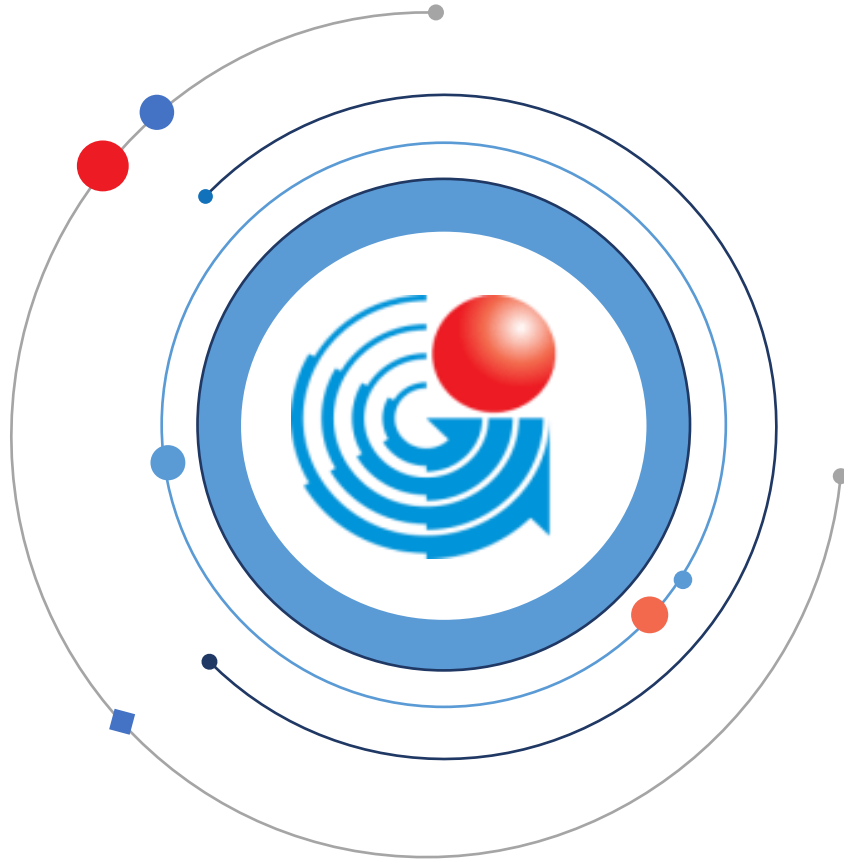
Granules India Limited

Investor Presentation - May 2023





Agenda



01

Company Overview

02

Strategic Levers

03

Financial Highlights

COMPANY OVERVIEW

Transforming with
Science and
Technology



Vision:

*To be the global leader in pharmaceutical
manufacturing by process innovation and
unparalleled efficiencies*



Company Overview



About Us



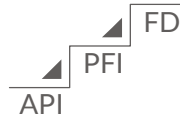
Granules India is a vertically integrated, high-growth pharmaceutical product manufacturing company based in Hyderabad, India. We manufacture high-quality API, FD, PFI and Speciality Products with a focus on customer centricity

Establishment in 1984



Business Verticals

Vertically integrated across value chain



Global Reach

- 80+ countries
- 300+ customers
- 60+ ANDA filings



Core products

- Paracetamol
- Metformin
- Ibuprofen
- Guaifenesin
- Methocarbamol



R&D

- Inaugurated a new 20,000 sqft state of the art R&D facility at Genome Valley with more than 150 scientists across both divisions



Manufacturing Base

- 7 operational facilities; 6 in India, 1 in US
- One of the world's largest paracetamol API facilities
- World's largest PFI facility
- One of the largest single-site FD facilities



Installed Capacity

- 39,360 TPA of API
- 24,640 TPA of PFI
- 28.3 Bn dosages of FD



Regulatory Approvals

- USFDA, EDQM, EU GMP, COFEPRIS, WHO GMP, TGA, KFDA, DEA, MCC, HALAL



People Strength

- 5,000+ people
- 90+ people at GPI, Chantilly, USA

Our Differentiating Edge

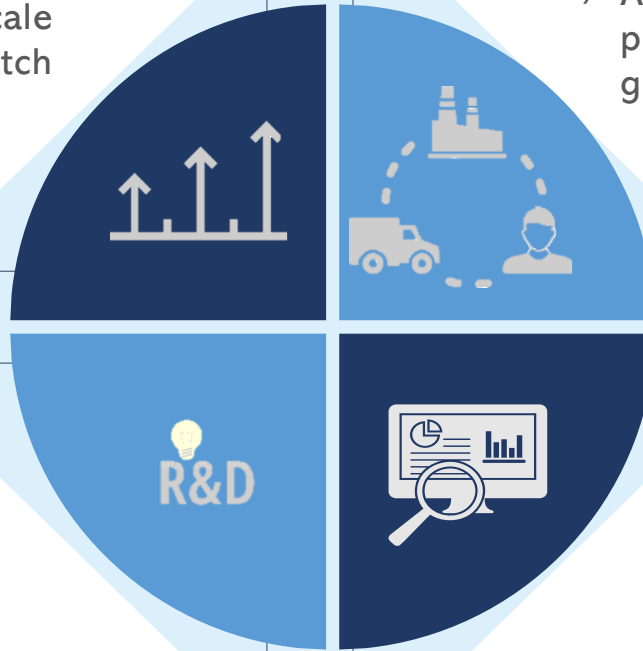


Economies of scale

- › Our facilities can accommodate large-scale customers with our industry-leading batch size of 6MT in PFIs

Vertically integrated model

- › An integrated value chain that has promoted us from an API manufacturer to a global pharmaceutical player



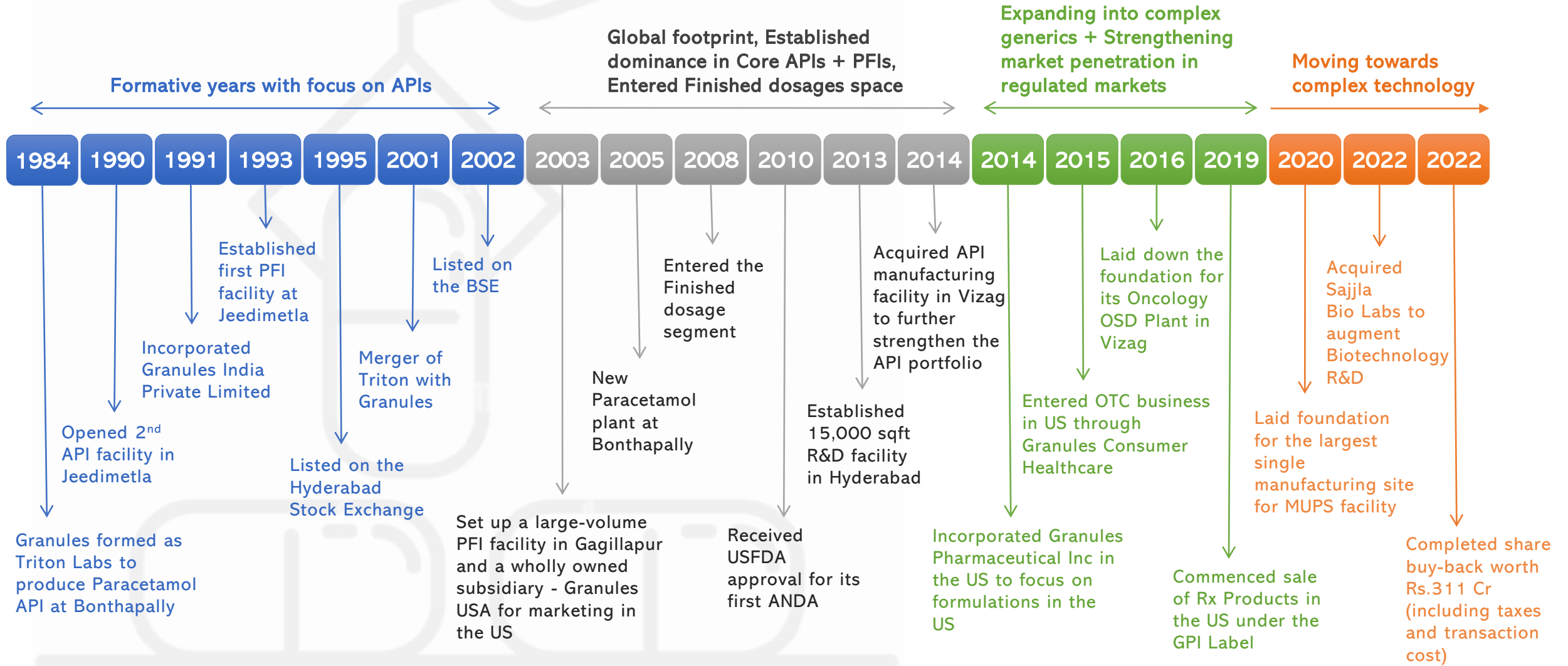
- › Our dedicated R&D team is committed to developing products and process efficiencies to create a diverse range of cost-effective offerings

Strong R&D capabilities

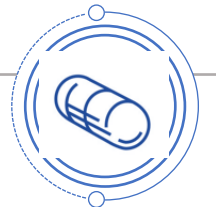
- › Spotless regulatory approvals history including US FDA

Impeccable regulatory compliance

Our Journey: Three decades of delivering on promises

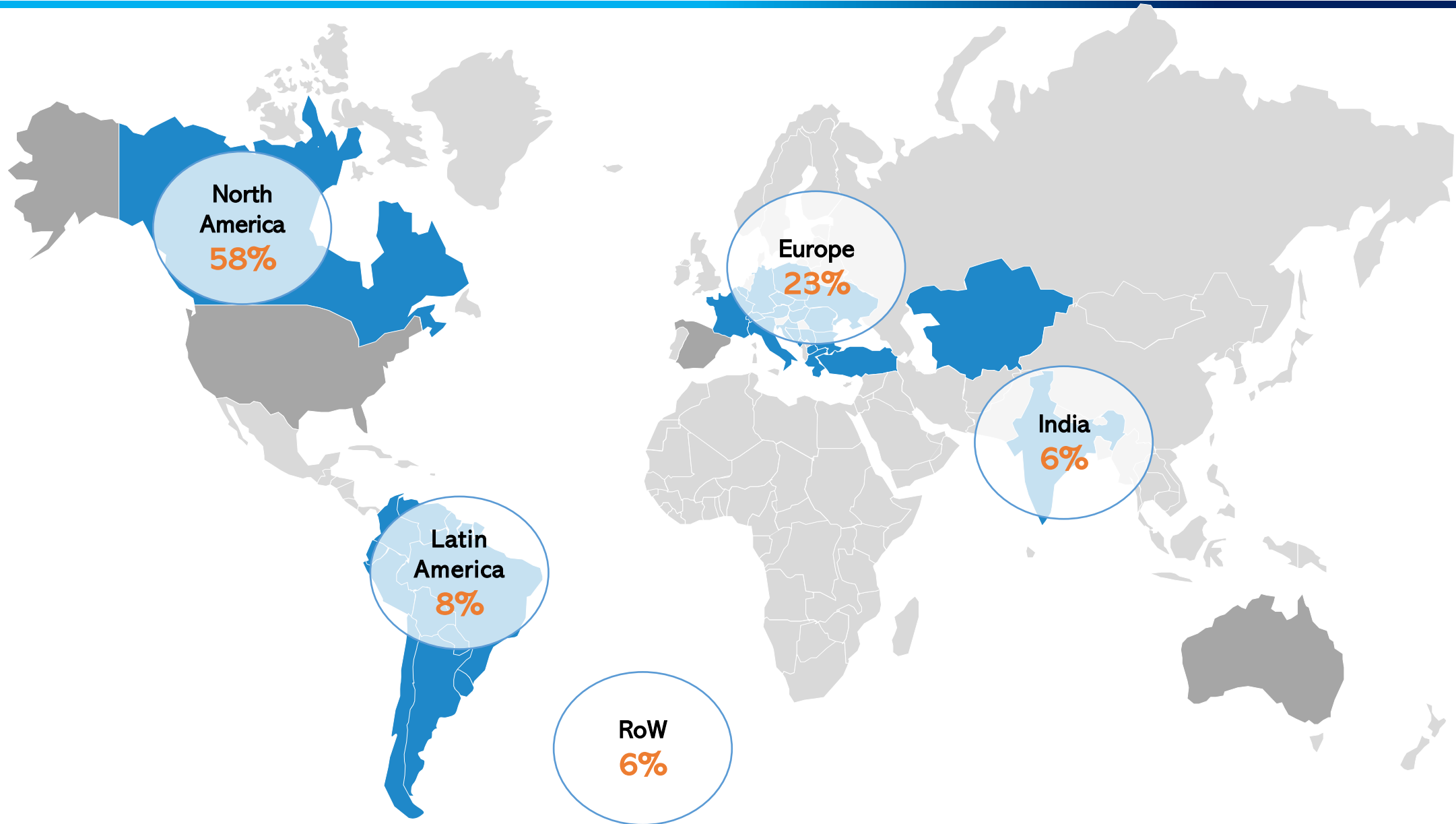


Our Manufacturing Footprint: 7 facilities – 6 in India and 1 in US



Value chain	Facility location	Installed capacity	Approvals
API	› Bonthapally › Jeedimetla › Vizag (Unit IV) › Vizag (Unit V) › Bonthapally II (API Intermediate)	› 34,560 TPA › 4,800 TPA › 380 KL › 15 KL › 61.5 KL	› U.S. FDA, EDQM, WHO, COFEPRIS, INFARMED › U.S. FDA, EDQM, COFEPRIS, WHO, CDCSO › U.S. FDA, KFDA, EU GMP, WHO GMP, EDQM › EU GMP › --
PFI	› Gagillapur › Jeedimetla	› 23,200 TPA › 1,440 TPA	› US FDA, COFEPRIS, TGA, MCC, INFARMED › WHO GMP, COFEPRIS, INFARMED
FD	› Gagillapur › Virginia, USA › Vizag (Unit V)	› 26.8 Bn › 1.5 Bn › 1.1 Bn	› US FDA, MCC, COFEPRIS, TGA, INFARMED › US FDA, DEA › EU GMP

Our Geographic Footprint: Revenue Share (FY 2023)



Leadership team – Our Management



C Krishna Prasad

Chairman and Managing Director



Dr. K.V.S. Ram Rao

*Joint Managing Director & Chief
Executive Officer*



Uma Devi Chigurupati

Executive Director



Priyanka Chigurupati

Executive Director of GPI and GUSA



Harsha Chigurupati

Executive Director



Mukesh Surana

Chief Financial Officer



Uma Rao G

Chief Human Resources Officer



PV Srinivas

Chief Technology Officer



Anil Arora

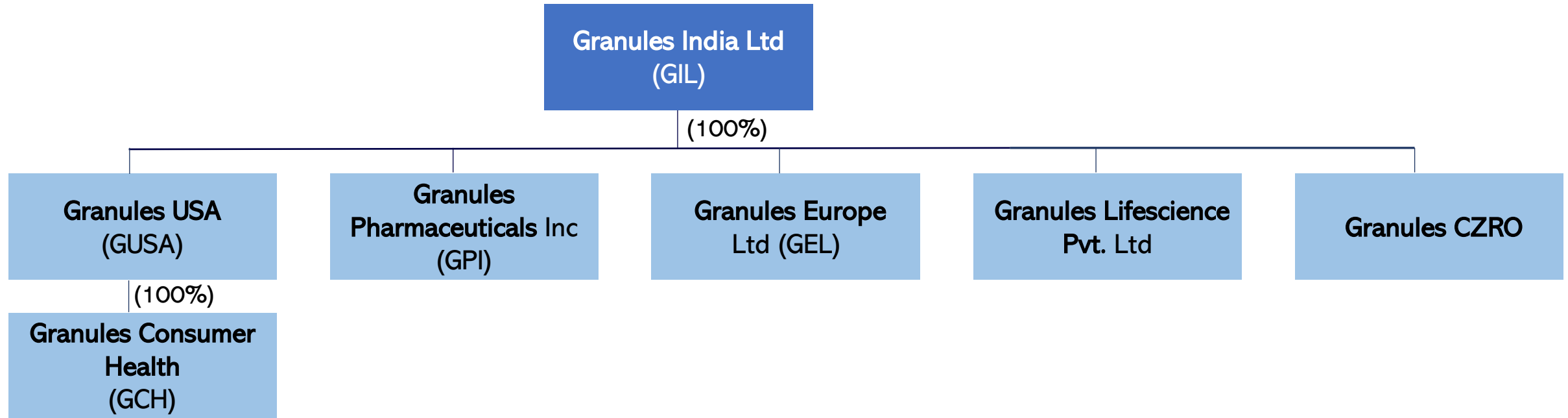
President - Formulation Operations



Sanjay Kumar

*Senior Vice President – Corporate
Strategy & Planning*

Our Business Structure



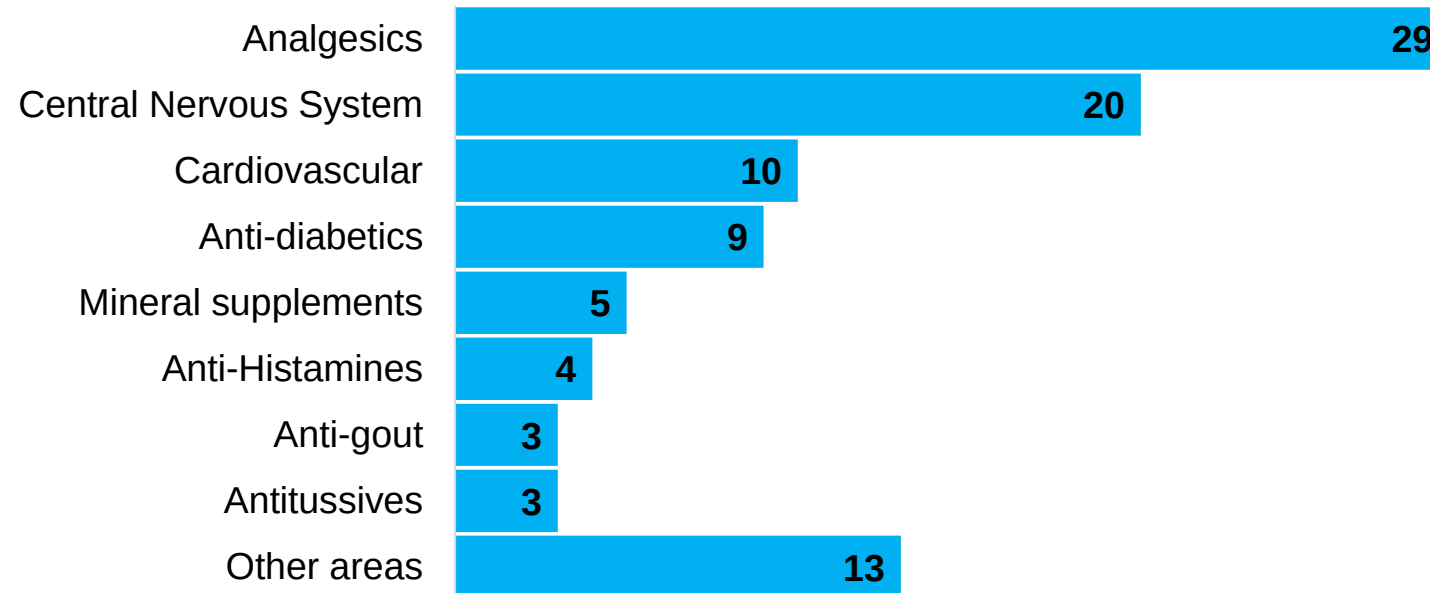
- ✓ GIL: Parent company with presence across the entire pharmaceutical manufacturing value chain from API to finished dosages
- ✓ GUSA: B2B Marketing & Distribution arm for APIs, PFIs and OTC FDs from GIL in the US
- ✓ GCH: Focused on marketing private-label OTC drugs to retailers in the US. Also, built a packing facility (GPAK) for Rx, OTC and Controlled substances for internal use as well as contract packing services
- ✓ GPI: R&D, manufacturing and front-end division for marketing of Rx products including controlled substances in the US
- ✓ GEL: B2B Marketing & Distribution arm for APIs, PFIs and FDs from GIL in Europe
- ✓ GLPL: Created for commissioning new plants in India (applicable for favourable tax regime with lower income tax rate)
- ✓ GCZRO: Created to establish Integrated Green Pharmaceutical Zone in Kakinada to manufacture products with zero carbon footprint

ANDA/Dossier filing status



Filing Status	GPI IP	GIL IP						Total
	USA	USA	Europe	Canada	South Africa	UK	Others	
Approved	24	29	5	5		3	1	67
Tentatively Approved	1	1						2
To be approved	5	10	3	2	4		3	27
Total Products	30	40	8	7	4	3	4	96

ANDA/Dossier filed - Therapeutic area wise



STRATEGIC LEVERS

(Granules 2.0)

Towards excellence in
Science, Technology
and Innovation

A

Strengthening the core

B

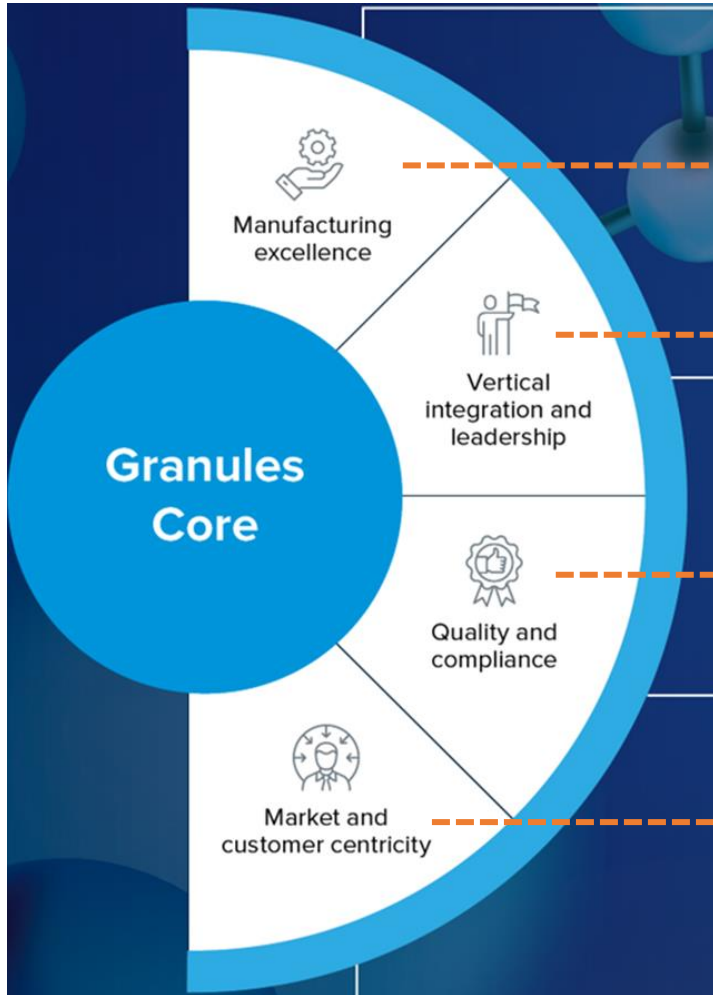
Technology Platforms

C

Sustainability



Strategy Lever A: Strengthening our core



- Built on scale
- Focused execution
- Cost leadership through a culture of continuous incremental innovation

- Vertically integrated across the value chain
- Leadership in key molecules. Scale advantage in Paracetamol, Metformin and Ibuprofen
- Among the world's largest facility for Paracetamol API
- One of the world's largest facilities for the PFIs and FDs

- Excellent regulatory track record
- Facilities approved by all major health authorities/regulators

- Successfully built and ramped up the US business
- Customer relationship management with key B2B partners

Our approach:



Global cost Leadership



Successful New product launches



Business Development



New Product development Sales



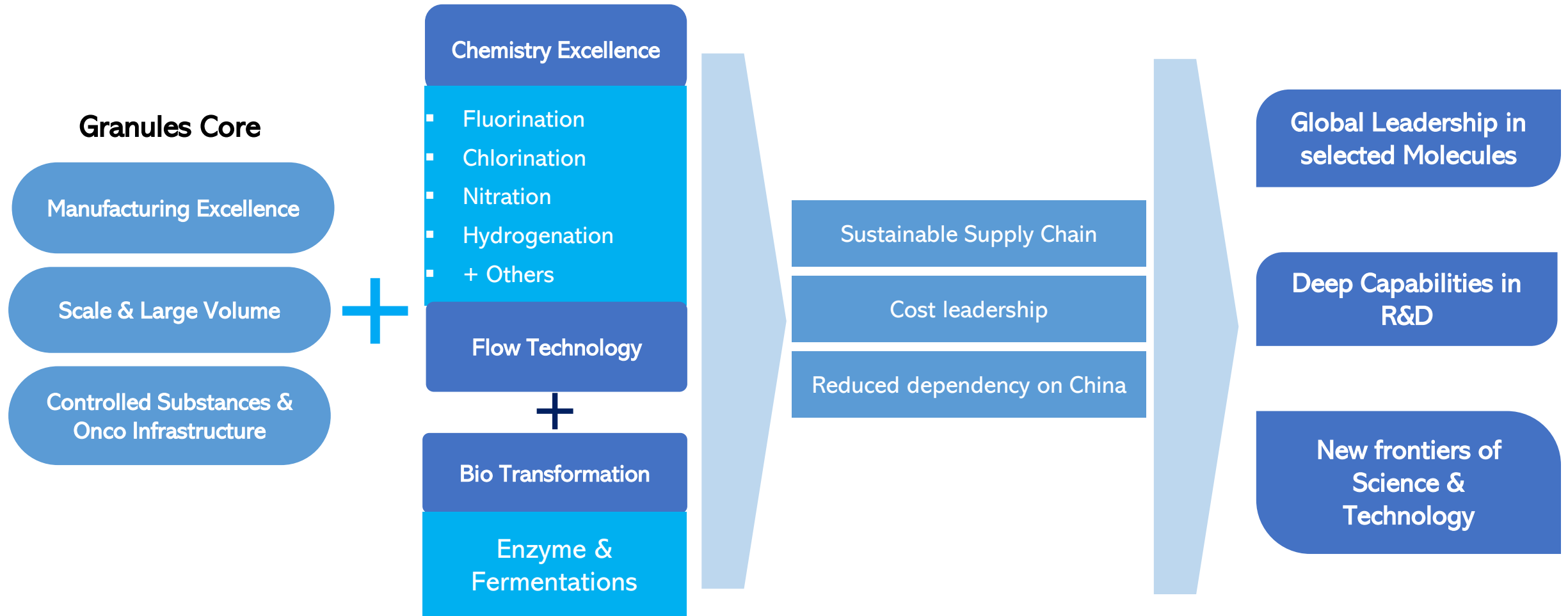
Global Leadership Molecules



Customer Service Excellence



Strategy Lever B: Technology platforms to reimagine manufacturing through innovation



Benefits and advantages of Chemistry excellence



Flow Technology

- Efficient Heat transfer
- Efficient Mass transfer
- Process controls
- Variety of chemistries
- Multiple step reactions

- Safer operations
- Ability to handle hazardous reactions
- Green Chemistry and Sustainability
- Faster Reactions & Smaller Lead Time
- Lean Operations

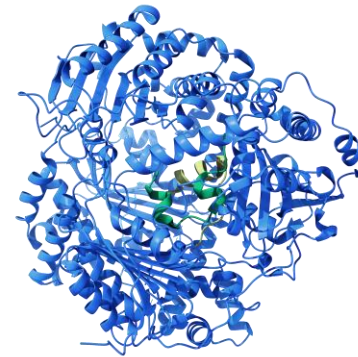
Capital Efficiency - Higher Asset Turn

Operational Efficiency - Manpower, Utility, Solvents

Lower Carbon Footprint

Bio Transformation

Biocatalysts encourages the idea of green chemistry as they are mostly renewable, less toxic, and less hazardous having less or no effect on the environment



Mild Reaction Conditions

Greater Selectivity

Simplified Work Streams
Fewer byproducts

Simplified Processing & Purification

Greater Saving Potentials

Improved Productivity



Strategy Lever C: Sustainability powered by Science, Technology and Innovation

Our Ongoing Sustainability efforts have been focused on **Energy, Water & Waste Management**



Energy consumption



Reducing GHG emissions



Water conservation



Waste management

Our efforts are getting recognized in the universe of sustainability



Received Score “C”
in the 1st CDP Climate Change disclosure in 2022

ecovadis

Silver Rating
Unit-1 Bonthapally

Bronze Rating
Jeedimetla unit

The facilities at GGP, BPL, JDM, Unit-4 and Unit-5 are ISO certified



Environmental Management System



Occupational Health And Safety Management System

We are currently developing a comprehensive, long-term sustainability and ESG roadmap

- Completed **stakeholder engagement, benchmarking, and materiality assessment**
- Baselining and Reporting exercise underway** for Scope 1 and Scope 2 emissions
- Next Steps:** announcing our long-term and medium-term decarbonization commitments to our stakeholders

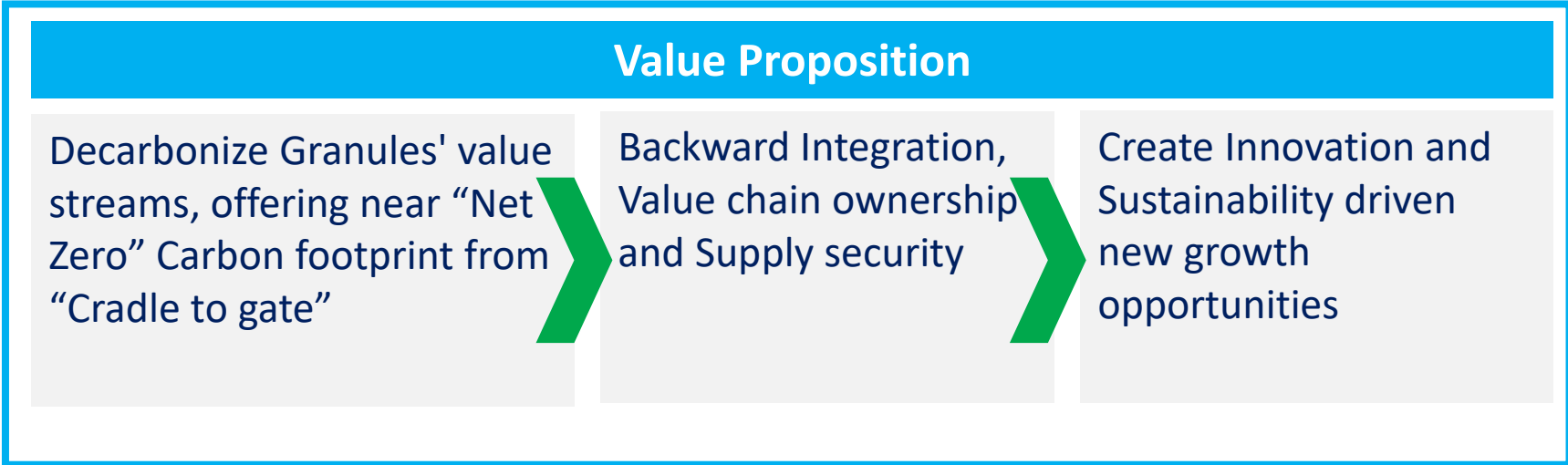


Kakinada Green Pharmaceutical Zone (GPZ) : Granules Partnership With Greenko

KAKINADA GPZ
with Greenko

GRANULES
CZRO*

 		
Develop and Promote State-of-the-art Integrated Green Pharmaceutical Zones (GPZ) with first collaboration in Kakinada, Andhra Pradesh	Supply of Carbon Free Green Energy and Green Molecules Solutions	To build a green field facility for large scale manufacturing of KSMs, Intermediates, APIs and fermentation-based products



* Granules CZRO is the wholly owned subsidiary of Granules for Kakinada GPZ initiative

GRANULES **CZRO**: Frugal Approach to Investment



Phase Wise & Stage Gated Investment	Strengthening our Core Business	Frugal Approach to Capital Deployment	FY 24 Capex Outlay for CZRO
To be commissioned in a Phase wise and Stage gate manner over the next 5 years. ■ Total Planned Outlay: ₹ 2000 Cr over 5 years	Focus for the first phase is to strengthen our existing Core Business ■ Key intermediates for Metformin and Paracetamol	Investment Plan with Optionality Built in ■ Start with pilot scale investment, ■ Post validation/ optimization, move to “at-scale” manufacturing ■ Focus on quick commercialization and move over to the next product	Planned outlay for FY24 at ₹250 Cr ■ ₹100 crore for land and civil works ■ ₹150 crore for a pilot plant for two KSMs and a commercial plant for one of the KSMs

Vocational education & technical skills in pharmaceutical operations to High School youth to ensure employment in any pharmaceutical manufacturing company.

Granules India is engaged in :



Course Contents :

- Enhancing Technical Skills
- CGMP
- Unit Operations
- Communication
- Analytical Thinking
- Basics of pharmaceuticals
- Pharma Analysis
- Enhancing Soft Skills
- Time Management
- Decision Making

- Setting up of the infrastructure along with classrooms, laboratories, etc.
- Developing the course content
- Training the trainers
- Providing faculty
- Providing industrial internship for the students
- Assessing & certifying the students on completion of the course



Pharma Pathasala





FINANCIAL HIGHLIGHTS

Rs.45,119 mn of
Revenues in FY23 with
20.3% EBITDA margin



FY23: Y-o-Y performance highlights – P&L

(In ₹ Mn)



	FY23	FY22	Y-o-Y Gr%
Revenue	45,119	37,649	20% ↑
Value Added	22,046	18,813	17% ↑
Value Added %	48.9%	50.0%	
EBITDA	9,138	7,222	27% ↑
EBITDA %	20.3%	19.2%	
PAT	5,166	4,128	25% ↑
PAT %	11.4%	11.0%	

FY23: Y-o-Y performance highlights – Cashflow and Ratios

(In ₹ Mn)



	FY23	FY22
ROCE%	21.1%	19.3%

ROCE = Annualised EBIT / Average capital employed
 Capital employed = Equity + Total Borrowings + LT liabilities - Cash

	FY23	FY22
Fixed asset turn	2.06	2.02

Fixed asset turn = Annualised Sales / Average Tangible Gross block

	FY23	FY22
Net debt/ EBITDA	0.84x	0.97x

Net debt = Gross debt – Cash and cash equivalents

	FY23	FY22
CCC	132	138

CCC = DIO + DSO - DPO

DIO and DPO are calculated using Material Cost consumed and DSO is calculated using Sales

	FY23	FY22
Operating Cashflow	7,387	3,321

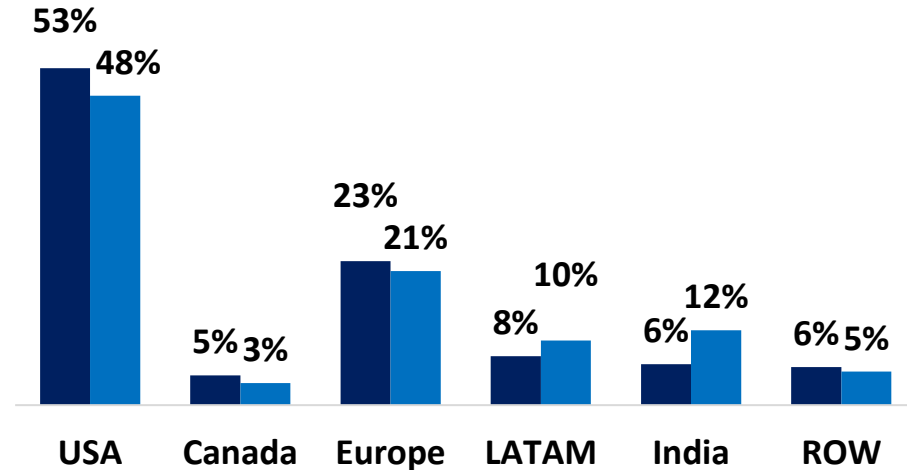
	FY23	FY22
Capex	4,105	3,967

FY23 Revenue spilt by Market and Segments

(In ₹ Mn)



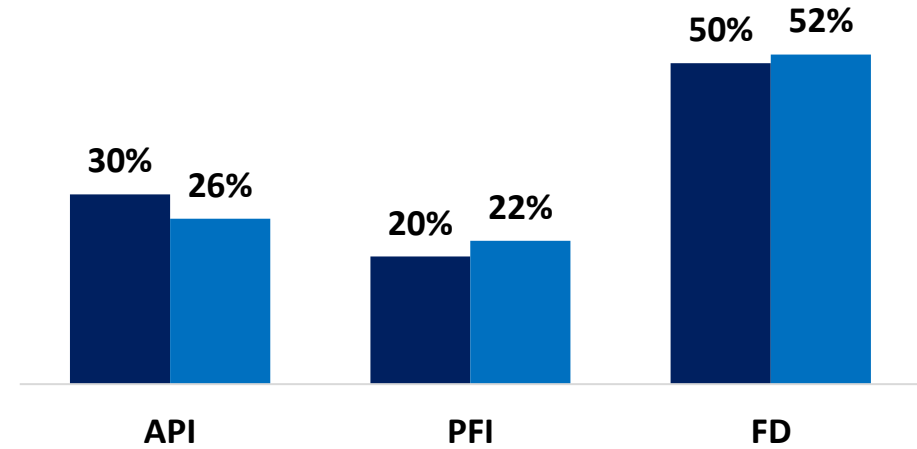
Region wise share



■ FY23 % ■ FY22 %

	FY23	FY22	Y-o-Y Gr%
USA	23,780	18,251	30%
Canada	2,099	1,290	63%
Europe	10,210	7,902	29%
LATAM	3,443	3,811	(10%)
India	2,895	4,415	(34%)
ROW	2,691	1,979	36%

Division wise share



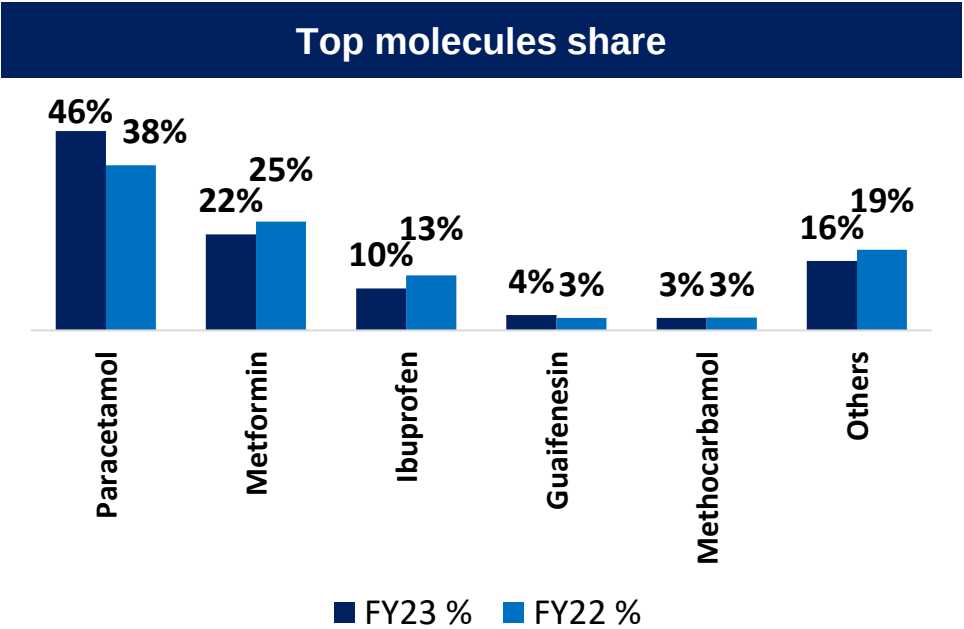
■ FY23 % ■ FY22 %

	FY23	FY22	Y-o-Y Gr%
API	13,414	9,751	38%
PFI	9,021	8,456	7%
FD	22,684	19,442	17%

FY23 Revenue spilt by Molecules



(In ₹ Mn)



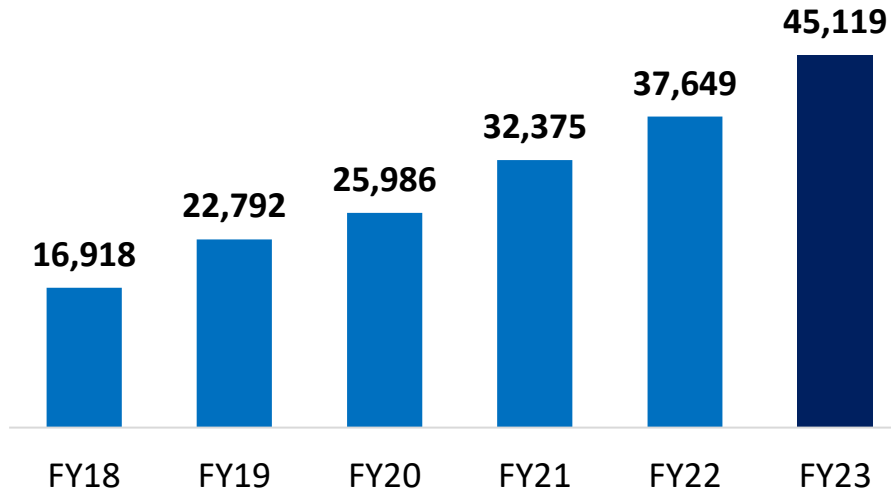
	FY23	FY22	Y-o-Y Gr%
Paracetamol	20,626	14,282	44%
Metformin	9,960	9,410	6%
Ibuprofen	4,366	4,768	(8%)
Guaifenesin	1,616	1,100	47%
Methocarbamol	1,317	1,114	18%
Others	7,233	6,974	4%

Last 5 years historical performance – Sales and profitability

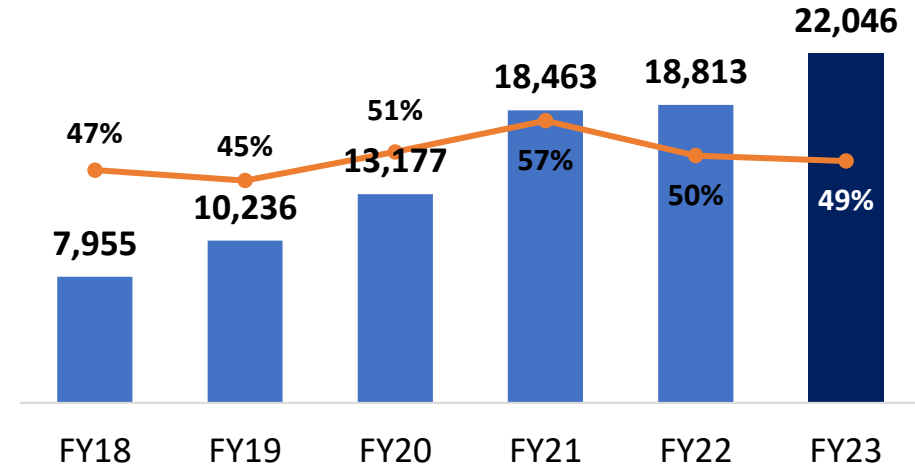
(In ₹ Mn)



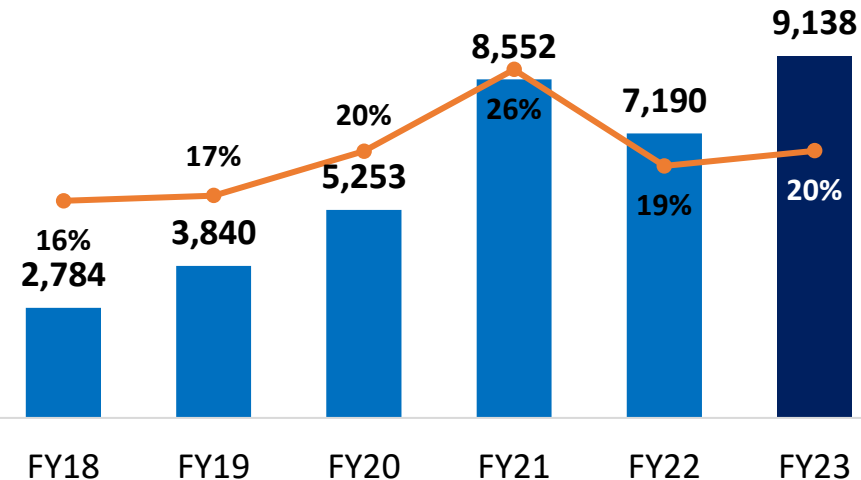
Sales: 5yr CAGR: 22%



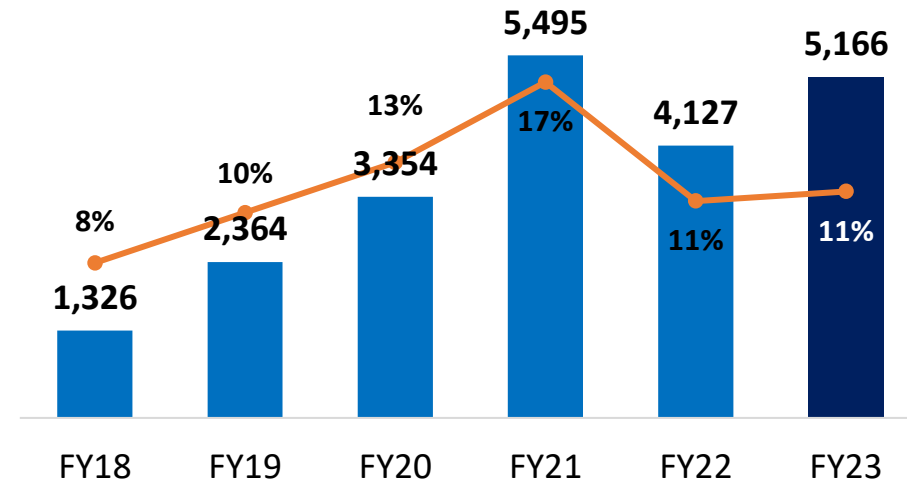
VA and VA%: 5yr CAGR: 23%



EBITDA and EBITDA%: 5yr CAGR: 27%



PAT and PAT%: 5yr CAGR: 31%

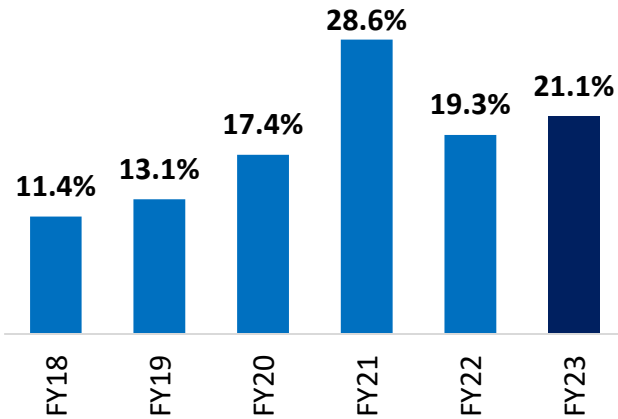


Last 5 years historical performance – Cashflow and Ratios

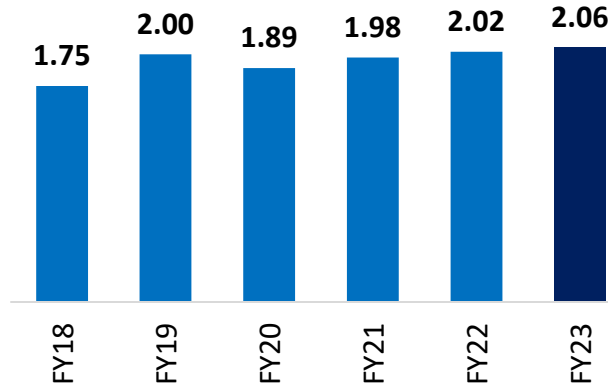
(In ₹ Mn)



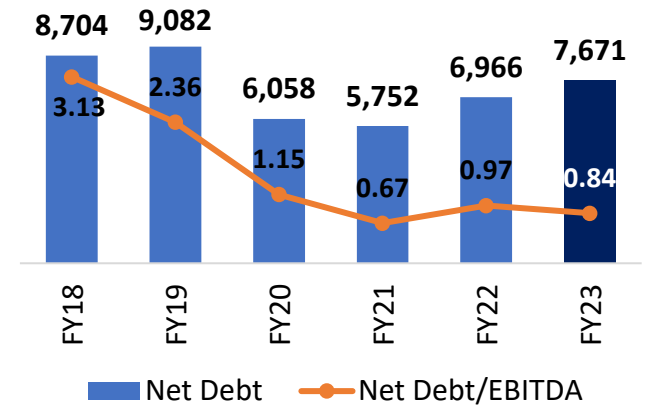
ROCE%



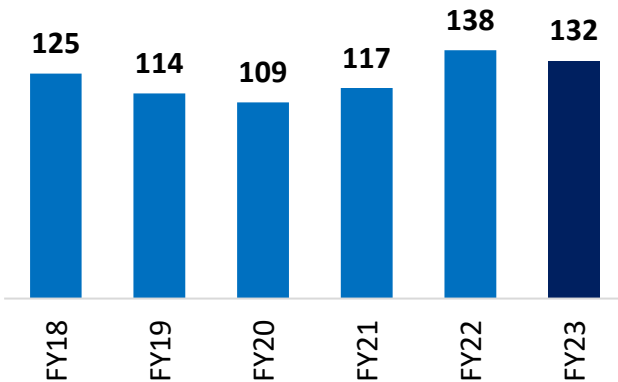
Asset turns



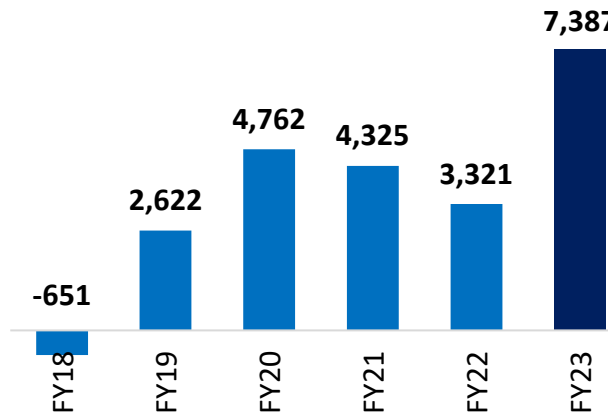
Net debt and Net debt/EBITDA



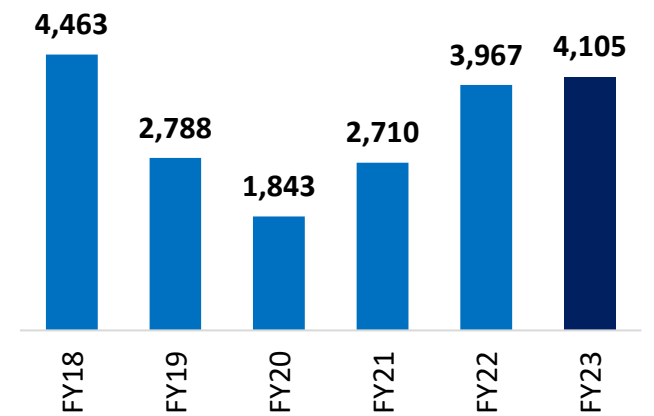
Cash to Cash cycle



Operating Cash flow



Capex





thank you!



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